



Here’s an example to help you understand better:

Amount	Interest Rate	Tenure	EMI	Total Interest Paid
₹ 20 Lakhs	7%	20 years	₹ 15,506	₹ 17 lakhs
For example, If you take a 20 lakh loan at 7% for 20 years your EMI will be Rs15,506 and you’d be paying a total of Rs17 lakh as interest.				
₹ 20 Lakhs	8.5%	30 years	₹ 15,378	₹ 35 lakhs
However, if the interest rate increases by 1.5%, then to keep your EMI roughly the same at ₹ 15,378, the tenure will have to be increased to 30 years and the total interest paid will be 35 lakh. This way your interest payout increases exponentially and you’d be paying your loan for a really long time. In such scenarios if possible you can prepay some of your loan so that the overall outstanding loan decreases.				
₹ 18 Lakhs	8.5%	20 years	₹ 15,340	₹ 21 lakhs
Say you can pay off 10% of the loan, then your outstanding loan decreases to 18 lakhs and at the increased interest rate of 8.5% and tenure of 20 years you’d be paying roughly the same ₹ 15,340 and total interest outgo is ₹ 21 lakhs. If you don’t have any lumpsum amount then you can just try to increase your EMI amount or pay an extra EMI a year meaning 13 EMIs in a year. All this will pay off your principal portion of the debt, which will reduce the interest you need to pay in the longer run.				